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BANKRUPTCY

Microsoft-backed Builder.ai files for insolvency

By [Leah Hodgson](#)

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London-based AI unicorn Builder.ai has started insolvency proceedings after leadership turmoil amid a revision of its reported revenue.

The company, which provides AI tools for app development, said Tuesday that it had been “unable to recover from historic challenges and past decisions” that had put its finances under strain.

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Earlier this year, Builder.ai had to restate its 2023 revenue, lowering it to \$140 million; however, the original figure was not disclosed. Soon after, it appointed auditors to examine its previous two years of accounts.

In March, the company reduced its revenue estimates for H2 2024 by around 25%, Bloomberg reported, after former employees accused Builder.ai of inflating sales.

The same month, there were layoffs at the company and its founder, Sachin Dev Duggal, stepped down as CEO and was replaced by Manpreet Ratia, a managing partner at [Jungle Ventures](#). Duggal remained on the board.

Builder.ai was launched over a decade ago and has raised \$445 million to date, according to PitchBook data. Its backers include [Microsoft](#) and [Insight Partners](#). It was valued at over \$1 billion when it secured a \$250 million Series D in 2023 led by [Qatar Investment Authority](#).

The Indian Directorate of Enforcement named Duggal a suspect in a money-laundering investigation in 2023, the Financial Times reported at the time, but he denied any wrongdoing.

Builder.ai will now appoint an administrator to manage the company's affairs and is looking at options for parts of its business.

Featured image by Ramsey Cardy/Getty Images

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About [Leah Hodgson](#)

Leah Hodgson is a London-based senior reporter for PitchBook, covering the venture capital ecosystem across Europe and the Middle East. Leah, who joined PitchBook in 2018, graduated from the University of Surrey with a BA in international politics with French. She has previously been a radio reporter in France. She later turned to financial journalism, covering the wealth management industry.

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